

areas like New York City or San Francisco because of these high transaction costs and high property values.

Scott conducted this analysis, with these numbers, in July 2020—and contrary to what you might expect from a real estate investor, his decision was to be a *renter* with his personal residence. Given his desired lifestyle plus his wants and needs for housing, renting was the better option. Scott plans to live in the location for no more than three or four years, and he will, of course, invest the cash not required for mortgage payments or down payments in other real estate investments.

OPPORTUNITY COST

Remember when we talked about the homeowner not being able to enjoy as many road trips and karaoke bar nights? Though they'll miss belting out "Wonderwall" with their buddies, they'll also miss out on something much bigger—the opportunity to invest that money elsewhere. This concept is called *opportunity cost*.

The word "investment" carries a heavy burden, especially in the context of buying a home. In many cases, a primary residence produces investment returns far below what can be expected from other assets.

Picture this: The renter saves up the same \$52,000 that the home buyer does, but instead of moving into a house, they keep renting and use those savings to invest in stocks. With an average stock market return of 10 percent each year, they're actually building *more* equity than the homeowner, at least in the beginning. Adding this to our equation actually pushes that break-even point for renting versus buying to about year six.

In most scenarios, a rent-versus-buy analysis will reveal a break-even point between year four and year six. If you're right on the cusp of the five-year mark, you might be tempted to just go ahead and buy instead of rent. So many people have benefitted from insane appreciation, right? They wake up one day and their home is worth twice as much as what they bought it for.

Don't give in to the temptation. If you're not sure how long you'll stay in a home, we recommend that you err on the side of renting, not buying. If you have an investor mindset, you have a strong chance of realizing